

Now when you buy a commodity that you need after 3 months, you will also have to store it which will include some **storing costs**. When you buy using forward contracts, because you do not receive physical delivery, you do not have to incur any storage costs too.



This is how those who actually need the commodity use derivative contracts to manage and reduce their risks. However, from a trading point of view as well, we can enter trades and try to benefit from such derivative contracts. This is what we will discuss in this book and chapters coming ahead.